"BUILDING ENTERPRISE MUSCLE OF INDIA BY SEEDING ENTREPRENEURSHIP AS MINDSET AND CULTURE"



- **What do you think about the future of India, with respect to all-inclusive growth?**

To ensure that the benefits of growth spread across all sections of the society, especially the marginalized groups including SC/ST entrepreneurs, government is trying to make procurement activities of the public sector to more inclusive and participative. One of our flagship scheme i.e. National SC-ST Hub under MoMSME is working for inclusion of disadvantaged sections by promoting "enterprise culture" amongst the SC / ST population and providing complete handholding and mentoring support to SC-ST MSEs across their business lifecycle. The Scheme is empowering the SC/ST population to participate in public procurement process and fulfill the mandated target of 4% procurement from SC/ST enterprises under Public Procurement Policy by the Ministries, Departments and CPSEs.

- **What has been the overall impact of Covid-19 on the MSME sector? We would like to know about the steps undertaken for the revival of the MSME sector ever since you have taken the charge?**

Across the world, COVID-19 had brought economic activity to nearly zero level. The restricted movement due to lockdown had a severe effect on all the sectors of the economy, especially manufacturing and certain service sector industries such as hospitality, travel, and entertainment. MSMEs were least prepared to deal with something so unexpected. The Government announced a series of measures for the revival of the economy, including the MSME sector. My focus is on 'effective implementation' of these measures. I have tried to cover all the aspects of MSME ecosystem viz. credit related issues, marketing and delayed payments, and access to technology. I am also trying to give a special emphasis on the coir sector for development of coir-based labor-intensive industries in the coastal areas. We are also trying to clear the proposals received for formation of clusters in both formal and traditional industries, in a time-bound manner. I also believe that the existing MSME field offices need to be reorganized or restructured. I have started taking steps in this direction as well. Moreover, the Ministry has also done a quick survey to assess the impact of COVID-19 on MSME sector. As per the requirement, the guidelines of various schemes/ programmes will be modified for the promotion & development of the MSME sector.

- **What can be done to help MSMEs achieve their optimum potential and contribute to the national growth?**

The MSME sector contributes nearly 30% of India's GDP. However, you may notice that some states are far ahead of others in terms of number of MSMEs as well as in respect of contribution of the MSME sector to the total employment and income of that state/UT. States/ UTs with better industrial setup have done relatively better as MSMEs are there in the supply chain of the large and well-established manufacturing sector. But there is a need to focus on those states/UTs which have not performed well despite of sound prospects. A holistic approach for MSMEs is required to achieve their optimum potential. A multi-pronged strategy is required for facilitating access to information, credit, technology & marketing. Now, with the revision of the definition of MSMEs, service industries such as tourism, hospitality, etc. can become game changers in the states of North Eastern India and hilly regions. We are focusing on such sectors. Secondly, we are trying to bring tiny and micro units under the formal system of credit to further push this sector to achieve its full potential. To make this sector highly competitive, we are also working to ensure 'access to capital' and 'access to technology' for MSMEs.

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- **What are the initiatives taken by you in terms of providing easy financing to MSME sector, as the banks are generally reluctant to giving loans to this sector because of the lack of collateral, and the relatively small loan amounts sought by them?**

The formal banking has done well in terms of MSME credit, however, the system has its own limitations. Micro and small Enterprises, because of their peculiar nature, sometimes find it difficult to complete the documentation process required by banks. Therefore, we are working to make all forms of lending available to MSMEs by way of co-lending model, Fintechs, and NBFCs. The Ministry of MSME is running a scheme viz. Credit Guarantee Scheme (CGS) to strengthen credit delivery system and facilitate the flow of credit to the MSME sector without the hassles of collateral and third-party guarantee. The scheme is being implemented through Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE). Under the Scheme, credit guarantee is given to the Member Lending Institutions (MLIs) for loans up to Rs 200 lakh granted to MSE without collateral and third-party guarantee. As on March 31, 2021, cumulatively, 51.42 lakh proposals have been approved with guarantee